

in El Salvador, virtually no one uses Bitcoin to pay for goods and services; they use, in fact, the U.S. dollar. In the United States, millions of people have purchased crypto, but similarly, it plays no role in the economy. People do not *think* of it as a currency or benchmark. They track the price of crypto *in dollars*, not the reverse. Bitcoin is transacted far too slowly to serve as a medium for electronic payments (Visa and Mastercard are thousands of times faster).³⁴ The blockchain platforms that support crypto are ingenious and might potentially serve some additional purposes. A few investment banks trade debt securities on blockchain networks. However—a fact often ignored—“investors” in cryptocurrency do not own a claim on the technology. They own a code to, and only to, their own coin. What Bitcoin *has* proved useful for is illicit transfers by drug cartels, kidnappers, pornographers, and the like. As Eswar Prasad, a Cornell University professor and digital expert, told this writer, Bitcoin remains a “pure speculative asset whose whole value is based on scarcity. The only reason it has value is everyone else thinks it has a value.”

Few speculative vehicles have attained such widespread popularity. Scores of coins have been (digitally) minted, worth well over a trillion dollars at market prices. Yet no one has offered a definition, even an approach, to ascertaining any intrinsic value to these coins. They produce no revenue, dividends, or cash flow; they yield no earnings. Like the tulip mania in seventeenth-century Holland, they are purchased in the hope that other buyers will pay more. To borrow an example from the organizing editor of this volume and my fellow contributor, Seth Klarman, they are like the West Coast sardines whose price soared well beyond what any sane consumer would pay because, a speculator explained, these were not “eating sardines”; they were

³⁴ Ed Lin, “Bitcoin Can’t Take a Bite out of Visa, Mastercard,” Barrons.com, March 28, 2018, <https://www.barrons.com/articles/bitcoin-cant-take-a-bite-out-of-visa-mastercard-1522238401>.